NITTY-GRITTIES OF CREATING BALANCE SHEET

FOCUS ON NETWORTH, NOT ASSETS

While creating a balance sheet, we must always focus on increasing the net worth. It is not the increase in assets that counts, but the increase in net assets after paying all the liabilities. If both our assets and liabilities increase by Rs. 20 lac, then there is no change in the net-worth. However, if the assets increase by Rs. 2 lac with no change in liabilities, then our net worth increases. Paying off our liabilities also has the same impact on the balance sheet. The net worth is our true monetary value.

ASSETS BACKED BY LOANS

Here we will learn to treat an asset bought on loan. On the asset side, we will write down the entire amount of the asset, irrespective of how we bought it. Then, we will proceed to write down the total loan amount on the liabilities side. So, if we bought a car worth Rs.5 lac and borrowed Rs. 3 lac for the same, we will write down Rs. 5 lac on the asset side and Rs. 3 lac on the liabilities side. People often omit this and simply write Rs. 2 on the asset side because they only paid Rs. 2 lac out of their pocket. But this would lead to wrong conclusions and decisions going forward. So, treat the loan and the asset as two different items and write it down in the balance sheet.

Liabilities

CAR LOAN = 3,00,000

Assets

CAR VALUE = 5,00,000

Networth

5,00,000 - 3,00,000 = **2,00,000**